

Contemporaneous meeting notes for use with other resources in preparation of draft minutes
MEMBERS – PERSONS appearing – BRIEF DESCRIPTION – DECISIONS. RSA 91-A:2.

The Claremont City Council held a meeting on Wednesday, September 2, 2025, in the Council Chambers of City Hall.

The meeting was called to order by Mayor Girard at 6:30 p.m.

Members of the Council present:

Ward I Councilor Andrew O’Hearne
Ward II Councilor Brian Zutter
Ward III Councilor Jonathan Hayden – Via Phone
Assistant Mayor Debora Matteau
At-Large Councilor William Greenrose
At-Large Councilor Wayne Hemingway
At-Large Councilor William Limoges
At-Large Councilor Nicholas Koloski
Mayor Dale Girard

Also present:

Nancy Bates, City Manager

School Property Tax Fund Discussion

Mayor Girard recapped that the City Manager had received communication from the comptroller Mr. Angel from the School District within the last couple of weeks about the possibility of trying to receive their tax funds on a quicker basis than normal to help the school out from a cash flow standpoint. Manager Bates had come to Council to talk about what would happen if the City were to expend the funds sooner, which would be a cost to the city on the interest of about \$37,000.00. Mayor Girard stated at the moment the school is not asking for these funds immediately but would still like to have the discussion for the ability down the line if needed.

Candice Crawford, Ward II, Thanked the Council for their interest in helping the school, and gave a personal point of clarification for being away a few weeks ago during a school board meeting as she was in Virginia helping family. Ms. Crawford then handed out an informational sheet and read from it:

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Claremont School District
Audits Timeline

Keys points to keep in mind when talking about School Audits.

1. State of New Hampshire requires:

1. General Requirement for Municipalities

Under RSA 41:31-a through RSA 41:31-d, every municipality must have an annual audit of the accounts of any officer or agent handling funds. This audit can be performed by:

- A locally elected auditor or board of auditors, or
- A certified public accountant (CPA).

2. Federal Assistance Threshold

- If a local government expends more than \$750,000 in federal assistance during a fiscal year, it must undergo a Single Audit conducted by a qualified auditor in accordance with the Government Auditing Standards and the Single Audit Act.

3. Waiver for Small Municipalities

- Municipalities with a population under 750 may apply for a waiver from the standard audit procedures. If granted, they must still complete minimum audit procedures using Form MS-60W

2. Audits are performed through an engagement of an independent accounting firm to perform the annual financial audit. It is the responsibility of School Administration to coordinate with the accounting firm, provide the documentation to conduct the audit and all assistance necessary to complete the audit timely.
3. Audits rely on the closing data from the prior year to ensure the accuracy of the current period's closing figures. Example to have reliance in the ending cash or fund balance amount, the opening amount for those accounts is required. Further annual audits provide confidence that activity is being recorded in the correct accounting period. This provide more meaningful results in the performance of the budget as all activity being posted against the budget in the audited financial statements reflects transactions attributable to that accounting period.
4. Any findings from an audit report are for advisory purposes only. The Audit firm has no responsibility or authority to follow up to ensure implementation of the findings. If findings are not addressed, they will be reported in the subsequent year's audits. Depending on the severity of the comments their classification of comment could be modified to a higher degree. In an audit, findings are classified into a hierarchy of severity, with the most serious findings being material weaknesses and the less severe but still important findings being significant deficiencies. Other, more minor issues are communicated separately, often in a governance letter,

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Through Allen Damren's time as Business Administrator, the annual Claremont School District audits were done by Plodzick & Sanderson P.A., and the results were delivered in a timely manner to the School District for dissemination.

- Upon the departure of Allen Damren, Business Administrator the annual audit process began to fall into dclinquency.
- In 2016, audits were deferred by the then School Administration. That is to say, the Audit firm was not invited in to complete the work.
- In 2019, Superintendent Tempesta became aware of this neglect and had Plodzick and Sanderson re-start the Annual Audit process.
- Work on Fiscal Year (FY) 2016 began in 2019. Field work was done in 4/2019 and results were reported to the Administration on 7/22/2019.
- FY 2017: Work on this audit appears to be done somewhat concurrently with 2016. Final FY 2017 report was delivered 12/23/2019.
- FY 2018: Work began 10/2020 and results were delivered to the School District on 6/30/21.
- FY 2019: Field work began late 2021. Report date: 7/20/22.
- FY 2020: Field work began 11/2022; Report given 7/21/23.
- FY 2021: work began sign-offs (on sections) began dated Q4/2023. Field work continued to be performed into 2024. Initial report sent to business office 4/8/24; final draft sent to office 5/2024.
- FY 2021 Audit Results were released to the public in March 2025.
- FY2022: The final report due September 2025. There have been consistent delays in getting field work done because Administration was not available to the Audit team.
- FY 2023: Field work begun August 2025
- FY2024: Field work being done concurrently with FY2023 work.
- FY2025: Field work being done concurrently with FY2023 and FY2024 work.

Assistant Mayor Matteau thanked Ms. Crawford for the information, but shared concern for the failure of the board not asking for missing audits, and noted the board employs Administration.

Councilor Koloski stated this information doesn't make him feel any better about where everything stands and how to move forward. Councilor Koloski noted the Council had the ability to make these changes without involving the public, but Council wanted to be transparent and would like the school to give a better public explanation.

Ms. Crawford noted the school board has been busy updating policies and one of them is an annual audit.

Ms. Crawford went on to speak about a bond option.

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Claremont Savings Bank has offered a four million loan, called a RAN revenue anticipation note or a GAN grant anticipation note, if the school board approves it will be due in April and there is a commitment from the State of New Hampshire guaranteeing that the funds will come in to pay off this loan.

Councilor Hemingway asked when the state gives the money in April, will this go to school or straight to bank. Mr. Angel replied the current state statute will have the money go into a school account then go to the bank.

Mr. Angel stated there is a School Board meeting tomorrow night, and at this time the plan is fluid.

Assistant Mayor Matteau thinks taxpayers need clarity from the board and how this has become a trust issue.

Councilor Greenrose questioned the loan amount and noted it isn't the total amount of the short falls and won't know until all audits are done.

Councilor Hemingway noted there was another meeting in twenty minutes and if the advancement of tax funds is not needed right now the Council should make a decision.

Ms. Crawford said the urgency around this topic from last week has dissipated for now, but may need to revisit in three months.

Assistant Mayor Matteau suggested tabling the conversation until school comes forward needing it.

Manager Bates clarified the school board had asked for the October, November, and December payments to be released early. That would be \$5,026,539 and would mean a loss of \$37,000 approximately in interest and if combined with the other two proposals tonight including the forgiveness of the fees for use of City fields and the revenue of the School Resource Officer, this would be a \$0.05 difference from last year's tax rate or an \$0.11 difference total these are preliminary numbers as the tax rate hasn't been officially set. Likely there will be an increase on the tax rate on the local side of about \$0.05.

Councilor Greenrose asked what this would translate to in actual dollars for the average tax bill.

Manager Bates estimated the average \$250,000 home would be looking at \$60.00 per year.

Mayor Girard stated if the City were to release these funds early, it would be important if there is an fiscal oversight committee from the City.

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Manager Bates agrees and recommends the same.

Mayor Girard noted there is another meeting at 7pm but will open a public forum for citizens to speak for three minutes and asked for the public to state their name and ward number.

Rachel Malcom, Ward III, appreciates the school board giving more information, but questioned what kind of oversight the public would foresee by Council, and shared concern for lack of oversight and money being misused as it hasn't been in the past. Ms. Malcom noted Articles from the NH Journal about notices of noncompliance of grant money from the state about improperly using grant money and read a portion of the article.

James Petrin, Ward II, wants to know what the starting operating budget for school each year is, and stated the loan for 4 million with a 2% rate is getting spent in 180 days, and questioned where all the money is going, and how much is being carried over every year.

Emily Sandblade, Ward III, noted she has frequently stated local entities like the school and local government should be cautious about what federal and state grants to take. SAU 6 and apparently the School Board believes the more grants the merrier, but school administration couldn't handle the volume, and then relayed how some grants may not be worth going after, and shared concern with what the school will need to do to get out of their mess such as close things, sell items, fire staff, and raise taxes.

Ray Menard, Ward III, noted when he was in school it was required to show your work, but now there is no information, no numbers for the public, before the City moves forward with this decision Mr. Menard feels the school needs to provide clear numbers.

Conrad Farnum, Ward III, noted this was his first attended meeting in 22 years. Mr. Farnum stated a concern for his taxes being so high that he may lose his house, and that taxes that can't be any higher. Mr. Farnum stated the City must stop the spending.

Kevin Tyson, Ward II, noted everyone has mentioned lack of information the only way to fix that going forward is radical transparency.

Julie Hiliard, Ward II, shared concern on how so many people missed school audits for years and years, and shared concern that the public are being taxed out of homes. Children are very important and stated there is no reason to pay anymore to keep schools open.

Zac Raymond, Ward II, noted as a homeowner and tax payer there is such a high tax rate already and feels this needs to be solved without an increase. Also sharing concern for education

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averages and noted no one is going to want buy homes and raise families here and then had a concern for property value decreasing while prices are increasing.

Joel Osgood, Ward I, shared a forensic audit should take place and asked the Council to put out an RFP and find out what it would cost for this serious situation, and noted as a Council they should be demanding one, and then put it on a warrant article and let the people decide if they want to do this.

Karen Leo Hill, Executive Councilor, noted earlier today there was an opportunity to have a briefing from school district, with legislators, state senators, school commission members and noted there is a power point presentation and thinks it would be helpful to share. Ms. Hill agrees there has been a lack of information and noted Mr. Angel is trying to get ahold of the actual deficit amount by end of month.

A motion was made by Councilor Koloski and seconded by Assistant Mayor Matteau to table the School Property Tax Fund Discussion until there is a sound financial presentation made to the Claremont City Council and Manager from Claremont SAU6 and the Claremont School Board, and this would include implementing a joint financial oversight committee including one Claremont City Councilor.

Roll call:

Koloski – yes

Greenrose – yes

Limoges - yes

Matteau – yes

Zutter – yes

Hemingway – yes

Hayden – yes

O’Hearne – yes

Girard – yes

Motion carried 9-0

SAU #6 Invoices

Resource Officer

Chief Wilmot noted officer Simonds is here this evening and noted the Police Department has an agreement that is signed annually with SAU6, typically after the beginning of the fiscal year. However, this discussion has not been had yet. Chief stated there was a brief conversation with comptroller and the interim superintendent and they find value in the school resource officer

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program and did not indicate they will be cutting it but would be open to City Council to not invoice them for this fiscal year.

By Consensus City Council agrees to bring this item back at a later date.

Athletic Fields and Recreational Venues

Director Martin stated the City typically bills the school on a contract basis, and noted Parks and Recreation are maintaining the fields regardless and has the staff to take care of them.

Councilor Koloski doesn't think this is a pressing issue for tonight, Councilor Zutter agrees.

By Consensus City Council agrees to bring this item back at a later date.

ADJOURNMENT

At 7:17 p.m., a motion was made by Councilor Hemingway and seconded by Councilor Limoges to adjourn.

Roll call:

**Koloski – yes
Greenrose – yes
Limoges – yes
Matteau – yes
Zutter – yes
Hemingway – yes
Hayden – yes
O'Hearne – yes
Girard – yes
Motion carried 9-0**

Respectfully Submitted,

Julia A. Bizzarro
Clerk to the Council